

DEMO.AML.REC.14/14.01.001/2025-26

Customer Identification and Periodic Updation Directions

In exercise of the powers conferred under the applicable statute, the following directions are issued. These directions shall come into force with immediate effect and shall supersede earlier instructions on the subject to the extent that they are inconsistent.

1. Applicability

These directions apply to all regulated entities, including commercial banks, payments banks, small finance banks, non-banking financial companies and prepaid payment instrument issuers. They take effect from the first day of the quarter following publication.

2. Risk categorisation

Every regulated entity shall categorise each customer as low risk, medium risk or high risk at the time of onboarding. The categorisation shall be reviewed whenever the transaction pattern of the account changes materially, and in any case at intervals not exceeding twelve months.

3. Periodic updation of records

Periodic updation of customer identification records shall be carried out at least once every two years for customers categorised as high risk, once every eight years for medium risk customers, and once every ten years for low risk customers. The period shall be reckoned from the date of the last completed updation.

4. Self declaration

Where there is no change in customer information, a self declaration to that effect obtained through a registered email address, registered mobile number, automated teller machine, internet banking or mobile application shall be sufficient to complete the periodic updation. A branch visit shall not be insisted upon.

5. Change of address

Where the only change is in the address of the customer, the revised address may be furnished through any of the channels specified in clause 4. The regulated entity shall verify the declared address within two months of receiving the declaration.

6. Enhanced due diligence

Enhanced due diligence shall be applied to customers categorised as high risk, to politically exposed persons and their family members, and to accounts of non face to face customers opened without in person verification. Enhanced due diligence shall include obtaining the source of funds and approval by an officer not below the rank of senior manager.

7. Consequence of non compliance

Where a customer does not provide the documentation required for periodic updation within the stipulated period, the regulated entity may impose partial freezing of the account after issuing three notices, of which at least one shall be sent by registered post. Partial freezing shall not be imposed before the expiry of six months from the first notice.

8. Record retention

Records of transactions and of customer identification shall be preserved for a period of five years from the date of the transaction or from the date of cessation of the business relationship, whichever is later.